Anthropic IPO Valuation

A basic model: cash flows, growth and the discount rate

Revenue-multiple enterprise value

$1.95 trillion

$195bn of 2028 revenue × 10.0x

DCF enterprise value

$788 billion

Ten-year forecast; 12% WACC; 3% terminal growth

- September reporting indicates an IPO equity target of about $2tn.
- The multiple supports that price mechanically. The DCF falls 60.6% below it.
- Net cash is **assumed zero**; equity comparisons are illustrative.

Information cutoff: 14 Oct 2026. Assumed valuation date: 31 Dec 2026. All values in USD. [S2, S3]

Cash-flow period: 2027–2036, then a terminal value

Explicit forecast: ten annual periods

- Forecast **unlevered free cash flow** for 2027–2036.
- Allow revenue growth and EBIT margins to converge toward maturity.
- Start the perpetual-growth phase in **2037**.

A five-year forecast would end while assumed growth is still 20%, creating a sharp maturity transition.

DCF component	PV ($bn)
2027–2036 cash flows	337.2
Terminal value	451.4
Enterprise value	**788.5**

57.2% of DCF value comes from cash flows after 2036.

The model discounts at year-end: 2027 is $t = 1$ and 2036 is $t = 10$.

2026 is a revenue anchor, not a discounted cash-flow period: the assumed valuation date is 31 Dec 2026.

Annual growth: rapid expansion, followed by a gradual fade

Year	Revenue ($bn)	Growth
2026E	64.0	Anchor
2027E	128.0	100.0%
2028E	**195.0**	**52.3%**
2029E	263.3	35.0%
2030E	329.1	25.0%
2031E	394.9	20.0%
2032E	454.1	15.0%
2033E	499.5	10.0%
2034E	534.5	7.0%
2035E	561.2	5.0%
2036E	578.0	3.0%

How growth is calculated

$$R_t = R_{t-1}(1 + g_t)$$

$$g_{2028} = \frac{195}{128} - 1 = 52.3\%$$

2028 anchor: midpoint of the reported $190–200bn company projection. [S2]

Other years: analyst assumptions. The $64bn 2026 estimate is not reported annual revenue.

Run rate $\neq$ annual revenue. A recent revenue pace cannot be substituted for full-year recognized sales.

Cash flow: convert revenue into cash available to capital providers

Unlevered free cash flow (UFCF)

$$\mathrm{UFCF}_t = \mathrm{EBIT}_t(1 - T) + \mathrm{D\&A}_t - \mathrm{Capex}_t - \Delta\mathrm{NWC}_t$$

Driver	Assumption
EBIT margin	10% → 35%
Tax on positive EBIT	25%
D&A / revenue	3%
Cash capex / revenue	8%
Operating NWC / revenue	2%

Compute, training and distribution costs are included in the EBIT-margin assumption.

$bn	2027	2028	2036
Revenue	128.0	195.0	578.0
After-tax EBIT	9.6	29.3	151.7
D&A	3.8	5.9	17.3
Capex	(10.2)	(15.6)	(46.2)
ΔNWC	(1.3)	(1.3)	(0.3)
UFCF	**1.9**	**18.2**	**122.5**

Example: 2028 UFCF
$= 29.25 + 5.85 - 15.60 - 1.34 = 18.16.$

Rounded displayed figures. No tax-loss carryforwards or separate funding schedule. Long-term compute commitments are not deducted again as one-year capex.

Discount rate: 12% WACC, with a 10–14% sensitivity

Discounting and terminal value

$$\mathrm{EV} = \sum_{t=1}^{10} \frac{\mathrm{UFCF}_t}{(1+r)^t} + \frac{\mathrm{TV}_{2036}}{(1+r)^{10}}$$

$$\mathrm{TV}_{2036} = \frac{\mathrm{UFCF}_{2037}}{r-g}$$

$r = 12\%$**:** illustrative WACC for technology, execution and cash-flow risk. It is not an observed or CAPM-estimated company rate.

$g = 3\%$**:** mature perpetual revenue growth. Terminal EBIT margin and investment ratios stay at 2036 levels.

DCF enterprise value ($bn)

WACC / g	2%	3%	4%
10%	982.1	1,074.3	1,197.3
12%	739.8	**788.5**	849.4
14%	581.9	610.2	644.1

Lower discount rates increase the value of distant cash flows.

Even the 10% WACC / 4% growth combination remains below the $2tn benchmark.

Sensitivity keeps the explicit operating forecast fixed. Terminal revenue, UFCF, investment and discounting recalculate for each rate pair. Require $r > g$.

What would a $2 trillion valuation require?

Revenue-multiple interpretation

$$\mathrm{EV} = \$195\,\mathrm{bn} \times 10 = \$1{,}950\,\mathrm{bn}$$

$$\frac{\$2{,}000\,\mathrm{bn}}{\$195\,\mathrm{bn}} = 10.26\mathrm{x}$$

At the $195bn forecast, 8x gives $1.56tn and 12x gives $2.34tn.

The 10x base multiple is an assumption. It is not a current peer-derived median.

DCF interpretation

Holding the ten-year forecast, WACC and investment ratios fixed:

- Required 2037 UFCF: **$464.9bn**.
- Required perpetual EBIT margin: **110.9%**.

That margin exceeds revenue and is not economically feasible under this cost structure.

Supporting $2tn therefore requires a different growth path, earlier cash generation, lower WACC or other material assumption changes.

Equity benchmark is compared with EV using assumed zero net cash. Actual cash, debt, convertible claims and share counts require an IPO-document update.

Conclusion and sources

Answers to the three model questions

- **Cash-flow period:** 2027–2036; terminal value from 2037.
- **Annual growth:** 100%, 52.3%, then a fade to 3% by 2036.
- **Discount rate:** 12% WACC; examine 10–14%.

Assessment: $1.95tn is consistent with the selected revenue multiple. The $788bn DCF shows that cash economics need much stronger assumptions to support the reported target.

Public sources

S1 Anthropic, 28 May 2026: $965bn post-money Series H valuation.

S2 Reuters, Aug 2026: reported $190–200bn 2028 revenue projection.

S3 Reuters, 29 Sep 2026: approximately $2tn target and cloud-partner dependence.

S5 Anthropic, 1 Jun 2026: confidential draft S-1 submission.

Limits: projections may change. Current net cash and offering terms are unavailable. Future funding and dilution are not modeled.

Calculation snapshot from the accompanying editable Excel model. Recalculate and refresh the slides after changing assumptions.

Information reviewed through 14 October (Beijing time)

- Anthropic announced its Singapore office and a government MOU on 14 October, with enterprise and public-sector adoption examples.
- No quantified incremental revenue or cash flow was disclosed in that announcement. The existing forecast remains an analyst scenario.
- Reuters' Q3 revenue report first appeared at 23:25 BST on 14 October, or 06:25 Beijing time on 15 October. It is outside this cutoff.
- The supplied 11 October workbook is retained as original evidence. Its US$64bn annual anchor is not replaced by a quarterly annualization.

Anthropic: Singapore office and government MOU, 14 October 2026.